

embedded health products. Health is growing fast. We had to educate the customer that they can buy comprehensive health plans directly.

Building this required us to rethink everything—from product design to buying journey to claims. The buying process needs to be intuitive. The claims process needs to be simple and transparent.



What's your claim settlement ratio?

For motor, it's more than 98%. Health is 95–100%. But I want to clarify that claims settlement ratio is often misunderstood. It's not always a clean, comparable metric because of how claims are reported.

At ACKO, customers can file claims easily via our app, even for minor issues like tyre punctures. We review and let them know if it's covered. But since everything is logged in our system, our reported claim data is more

transparent.

Traditional insurers often have layers—agents or garages—between them and the customer. Many potential claims never get formally reported or logged. That can artificially inflate their claim settlement ratio.

As a customer, you should check online reviews, social media feedback and user ratings. That gives a more accurate picture than just looking at published ratios.



What is your current combined ratio?

Traditionally, the combined ratio is calculated as loss ratio plus commission plus operational costs. If those exceed 100%, it's a loss-making business. Most of the industry operates at 110–120%. The more efficient players are around 100–105%.

We have no acquisition commission costs due to our direct model. If you exclude commission, our combined ratio would be 80–85%, which is very healthy.

However, we invest significantly in brand building, tech and process improvements. Our combined ratio is around 110+, but it improves by 10–12% every year.



What are the growth drivers for you?

Trust has been a big one. The deepening of customer relationships is important.

Apart from that, product flexibility is improving across the industry. We are also unlocking new product lines and sharply engaging with our existing customers to increase retention and cross-sell.

One area we are doubling down on is our app. Currently, insurance apps don't have much brand recall, so we are working to build more frequent and meaningful touchpoints to make it more relevant in a customer's daily life. **BT**

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